

Paradiem 

The Morning Brief

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Buyback Fades

Wednesday's duration-relief rally reverses as WMT's tariff-driven beat sold on soft Q3 guide, Philly Fed prints notably hot, and Trump escalates Iran-sanctions framing — oil surged and crypto surged harder even as bonds gave back.

S&P 500 (THU)	TLT (20Y THU)	WTI (USO THU)	BITCOIN (IBIT THU)	FEAR & GREED
\$762.60 · ↓0.84%	\$82.34 · ↓0.82%	\$134.54 · ↑2.77%	\$41.20 · ↑6.24%	72 · Crypto endpoint

SECTION 01

Markets — Treasury Buyback Bid Fades as WMT Disappoints, Philly Fed Prints Hot, and Crude Reprices the Term Premium

WEDNESDAY'S DURATION RELIEF REVERSES CLEANLY ON A COMPOUND SHOCK — WMT, PHILLY FED, AND OIL

Per Bloomberg and TheStreet coverage of Thursday's tape, the Treasury buyback rally that had capped the long end on Wednesday fizzled as investors judged the intervention a short-term fix against a fresh compound of catalysts. Per data drop, TLT closed ↓0.82% at \$82.34 reversing part of Wednesday's ↑1.67% bid, and the equity composition sorted directionally: SPY closed ↓0.84% at \$762.60, DIA ↓1.27% at \$527.51, QQQ ↓0.72% at \$710.93, and the Russell 2000 ↓1.34% at \$297.67. Per Bloomberg and TradingKey coverage of the Walmart print, WMT logged one of its steepest single-session declines in years despite reporting Q2 adjusted EPS of \$0.81 versus \$0.74 consensus per Walmart IR (a headline beat); per Investing.com and TradingKey coverage, the beat was driven materially by tariff refunds expanding gross margins, and Q3 EPS guidance of \$0.62–\$0.64 landed below sell-side consensus — a composition Investing.com characterized as management reinvesting the tariff windfall into price rather than flowing it through to near-term earnings. Per InvestingLive coverage of Thursday's 8:30 AM ET releases, the Philadelphia Fed manufacturing index printed +47.4 versus approximately +25.0 consensus per InvestingLive coverage — a notably firm read against the sell-side setup for a decisive step-down from July's +41.4 baseline. Per InvestingLive, initial jobless claims for the week ended August 15 came in at 206K versus 210K consensus. Per data drop, USO closed ↑2.77% at \$134.54 and BNO ↑2.24% at \$53.49 as Trump escalated Iran-sanctions framing into an unprecedented economic-action posture per CNBC and TIME coverage. The composition — buyback bid fading, hot manufacturing print, WMT-driven guide-and-quality consumer read, and crude bid on sanctions escalation — reads as a Wednesday-rally reversal driven by three independent vectors landing in the same window.

TLT (20Y THU)	\$82.34 · ↓0.82%
PHILLY FED (AUG)	+47.4 · vs +25.0 est
JOBLESS CLAIMS	206K · vs 210K est
USO / BNO (THU)	↑2.77% / ↑2.24%
MARA / IBIT / ETHA	↑15.54% / ↑6.24% / ↑10.52%
S&P FLASH PMI (FRI)	9:45 AM ET · Aug prelim

SECTOR TAPE INVERTS WEDNESDAY'S DURATION TRADE — DEFENSIVES SOLD, ENERGY THE ONLY BID SECTOR

Per data drop, the Thursday sector composition sorted as a near-mirror of Wednesday: XLE led at ↑0.27% and XLRE ↑0.20%; on the other side, XLV cratered at ↓1.87% (reversing Wednesday's ↑3.51% lead), XLY ↓1.61%, XLP ↓1.41%, XLI ↓1.20%, XLF ↓0.92%, XLC ↓0.57%, XLU ↓0.57%, XLK ↓0.29%, and XLB ↓0.19%. The composition — the prior session's defensives most punished while energy alone held the bid — confirms that the Wednesday intervention did not durably reprice the term-premium trade and that the crude escalation is now driving sector dispersion. Per data drop, the FCI dividend sleeve absorbed the mirror image with SPGI ↑1.29% at \$432.16, PCAR ↑1.15% at \$128.94, ADP ↑0.72% at \$279.21, and LRCX ↑1.09% at \$310.53 as the notable relative-strength names. On the other side, LMT closed ↓3.00% at \$571.48 extending Wednesday's Warren-adjacent drawdown, SYK ↓3.61% at \$327.70, STLD ↓5.20% at \$219.00 (the widest single-name drawdown in the sleeve on the session and its second consecutive session leading dividend-sleeve losses), and SYF ↓3.65% at \$76.71 alongside the WMT-driven

consumer-credit repricing. Per data drop, the FCI growth sleeve carried notable dispersion: MRVL closed ↑5.79% at \$251.01 extending Wednesday's reversal into a second session, NTR ↑3.72% at \$73.12, FCX ↑3.08% at \$71.22, and CNX ↑1.79% at \$36.46 — while ATAT closed ↓7.43% at \$34.25 as a clean sold-the-news event on the FCI Q2 beat (\$3.97 vs \$3.79 consensus per data drop).

CRYPTO COMPLEX RIPPED AGAINST THE BROADER DRAWDOWN — MARA +15.54%, ETHA +10.52%, IBIT +6.24%

Per data drop, the digital-asset complex logged the widest single-day gains in the FCI universe on the session and de-correlated cleanly from the equity drawdown: MARA closed ↑15.54% at \$11.15 leading the FCI tape, ETHA ↑10.52% at \$17.55, HUT ↑8.00% at \$88.65, and IBIT ↑6.24% at \$41.20. Per Benzinga coverage cited in the data drop, the digital-asset move framed alongside President Trump's Congressional push for the Clarity Act and the reported CFTC Chair Selig effort to bring Hyperliquid to the US — a regulatory-framework signal that continued to compound with the underlying spot bid. Per Benzinga coverage cited in the data drop, Bitcoin reclaimed the \$70K handle on the session and per SeekingAlpha coverage was up approximately 9% on the week. For FCI, the digital-asset expression through IBIT and ETHA continues to read cleanly on the intersection of the rate signal and the regulatory-framework signal even as the term-premium reversal took the broader tape lower. The bifurcation — equities sold, crypto ripped — is the analytical read the committee should note for the balance of the week.

A duration intervention that does not durably shift the underlying inflation or fiscal signal tends to fade faster than the vectors that reversed it. Simplicity Over Complexity.

Geopolitics — Trump Iran-Sanctions Escalation and Bessent Stepped-Up Enforcement Framing Reprice the Crude Complex

TRUMP TRUTH SOCIAL POST FRAMES IRAN PACKAGE AS UNPRECEDENTED ECONOMIC ACTION; BESENT CONFIRMS FRAMING

Per CNBC, TIME, and PJ Media coverage of Wednesday night's Truth Social post, President Trump characterized the intended Iran package as an unprecedented economic operation and called on allies to isolate Tehran or face secondary consequences. Per CNBC and Reuters coverage cited in the data drop, Treasury Secretary Bessent signaled the US will impose the most stringent sanctions regime to date on Iran and urged China to cooperate with enforcement. Per Reuters coverage cited in the data drop, oil is set for a second consecutive weekly rise as the unsettled US-Iran war continues to crimp supply, and Reuters shipping-tracking coverage confirms Hormuz transit counts remain in single digits against the roughly 130 daily crossings recorded before the conflict. Per data drop, the crude complex responded cleanly on the day: USO closed $\uparrow 2.77\%$ at \$134.54 and BNO $\uparrow 2.24\%$ at \$53.49 — the widest single-session prints in the crude tape since the buyback intervention on Wednesday relaxed the term-premium bid. For the FCI energy sleeve, CVX closed essentially flat at \$205.77 and CNX $\uparrow 1.79\%$ at \$36.46 per data drop, while OKE $\downarrow 1.47\%$ at \$94.60 reflected midstream-specific pressure — the composition indicates the crude bid did not yet flow uniformly through the sleeve.

SECTION 338 CANADIAN DUTIES IN A THREE-DAY PAUSE WINDOW EXPIRING AFTER TODAY'S SESSION

Per GHY International, Wiley, and Tariffstool coverage of the tariff calendar, the 50% Section 338 duty on certain Canadian imports (originally effective August 19) was paused for three days while Washington and Ottawa attempt to finalize a bilateral trade agreement, with Prime Minister Carney characterizing the pause window as running through end-of-day Friday, August 21. Per the same coverage, if no deal is reached, the 50% duty takes effect August 22 with CBP calculating duty on the arrival date at the US border. Per the same coverage, the administration identified provincial liquor-board restrictions on US alcoholic beverages, supply-management on dairy, and treatment of US automobiles as the discriminatory conduct triggering the action, while energy products, potash, critical minerals, fish, and certain civil aircraft goods carry carve-outs. For FCI positioning, the pause outcome carries direct read-through to the industrial, materials, and homebuilder complex where CAT (closed $\downarrow 0.09\%$ at \$815.39 per data drop), STLD ($\downarrow 5.20\%$ at \$219.00), TOL ($\downarrow 2.33\%$ at \$145.12), NTR ($\uparrow 3.72\%$ at \$73.12 — the potash carve-out is favorable), and FAST ($\downarrow 1.52\%$ at \$50.66) sit — and the composition on Monday will read directly against whichever outcome lands after today's close.

GAZA MEDIATION UNDER STRAIN; HUCKABEE PUBLIC STATEMENT ON SETTLER BEHAVIOR

Per Reuters coverage cited in the data drop, mediators publicly cautioned that the latest Israeli strikes are undermining efforts to end the Gaza conflict at what they characterized as a critical stage — a diplomatic friction that extends the regional risk premium the crude complex has priced since the Hormuz reimposition. Per Reuters coverage cited in the data drop, US envoy Huckabee publicly told Israeli settlers not to take Palestinian Americans' land — a diplomatic-tone signal that reflects Washington attempting to preserve mediation credibility even as regional pressure escalates. Per Reuters coverage cited in the data drop, the US indicated it will impose its most stringent sanctions regime to date on Iran, reinforcing the Bessent framing captured above. For FCI positioning, the compound diplomatic surround — Gaza mediation stress, Iran sanctions escalation, Hormuz single-digit transit, and the Section 338 Canada pause window — keeps the energy sleeve (CVX, CNX, OKE) and the digital-asset expression (IBIT, ETHA) at the intersection of the geopolitical-risk premium and the regulatory-framework signal that continues to compound favorably.

On Our Radar

1. S&P Global Flash PMI 9:45 AM ET — The Hot Philly Fed Sets a Cross-Check on the Manufacturing Signal. Per S&P Global release calendar and Finlogix coverage, the August flash manufacturing and services PMI publishes at 9:45 AM ET, following July prints of 53.8 and 54.6 respectively. Per InvestingLive coverage of Thursday's 8:30 AM ET release, the August Philadelphia Fed manufacturing index printed +47.4 versus approximately +25.0 consensus — a notably firm print against a sell-side setup that had expected a decisive step-down from July's +41.4 reading. A flash PMI that confirms the Philly signal would reinforce the term-premium reversal captured in the Markets section and materially frame Chair Warsh's Jackson Hole keynote setup (Friday morning August 28); a flash PMI that diverges from the Philly print would reintroduce the labor-softening thesis the WMT print and the July NFP miss have kept live. For FCI positioning, the composition tends to matter more than the aggregate: an S&P Global manufacturing-services divergence would keep the dividend-sleeve/growth-sleeve rotation live even as the aggregate print steadies.

2. WMT Print — Tariff-Refund Beat Sold on Soft Q3 Guide, Read-Through to the Discretionary-Adjacent Sleeve.

Per Walmart IR release and Corporate Walmart Q2 FY27 filing, Walmart reported adjusted EPS of \$0.81 versus \$0.74 consensus on Walmart US comp sales ↑2.6% (including approximately 80 bps of health-and-wellness headwind), with eCommerce ↑23% globally and management raising FY27 net-sales guidance to ↑4.0–5.0% and adjusted operating income to ↑7.0–8.5% in constant currency. Per Investing.com, TradingKey, and 24/7 Wall St. coverage, the Q2 beat was materially driven by tariff refunds expanding gross margins, and Q3 EPS guidance of \$0.62–\$0.64 landed below sell-side consensus — a composition Investing.com characterized as management reinvesting the tariff windfall into price rather than flowing it through to near-term earnings. Per Bloomberg coverage of the Thursday tape, WMT logged one of its steepest single-session declines in years despite the raised full-year outlook. For FCI positioning, the discretionary-adjacent dividend sleeve absorbed the read on Thursday with SYF closing ↓3.65% at \$76.71 per data drop — a consumer-credit repricing that carries through to the labor-softening thesis Chair Warsh will inherit into Jackson Hole. GPC (↓1.20% at \$132.92), PCAR (↑1.15% at \$128.94), and FAST (↓1.52% at \$50.66) will read through the retailer-and-industrial commentary landing between now and the balance of the retailer sequence.

3. ATAT ↓7.43% on a FCI Q2 Beat — Sold-the-News Pattern Consistent with Chinese-ADR Positioning Reset.

Per data drop, Atour Lifestyle closed ↓7.43% at \$34.25 Thursday despite reporting adjusted EPS of \$3.97 versus \$3.79 consensus — a clean sold-the-news event and the widest single-name drawdown in the FCI universe on the session. Per data drop, the peer Chinese-ADR complex sat under pressure with BABA missing at \$8.47 EPS versus \$10.62 consensus and YMM closing ↓0.92% at \$8.62. Per SeekingAlpha coverage of the ATAT Q2 call transcript, the company reported continued RevPAR growth and expansion pace consistent with prior quarters, indicating the drawdown reflects positioning and multiple reset rather than a fundamentals critique. For FCI positioning, ATAT and YMM sit at the intersection of the Chinese-consumer thesis and the digital-freight thesis, and the Thursday pattern — beat sold, guidance carried but multiple compressed — is consistent with the broader Chinese-ADR pattern the growth sleeve has absorbed through the year. The composition warrants continued analytical attention rather than an incremental portfolio action.

4. Bitcoin Reclaims \$70K — MARA ↑15.54%, ETHA ↑10.52%, and the Regulatory-Framework Signal

Compounds. Per Benzinga coverage cited in the data drop, Bitcoin reclaimed the \$70K handle Thursday, and per SeekingAlpha coverage cited in the data drop, Bitcoin was up approximately 9% on the week. Per data drop, the FCI digital-asset expression captured the move cleanly: MARA closed ↑15.54% at \$11.15 leading the FCI tape, ETHA ↑10.52% at \$17.55, HUT ↑8.00% at \$88.65, and IBIT ↑6.24% at \$41.20. Per Benzinga coverage cited in the data drop, the digital-asset move framed alongside President Trump's Congressional push for the Clarity Act and a reported CFTC effort to bring Hyperliquid to the US, extending the regulatory-framework tailwind noted in Wednesday's brief. For FCI, the composition — ETH-beta (ETHA) leading BTC-beta (IBIT) and miner-equity beta (MARA, HUT) leading spot — is consistent with a rate-off risk-on expression at the sleeve level even as the broader equity tape absorbed the WMT and Philly Fed reads.

5. LMT ↓3.00% Second Session — Warren-Adjacent Defense-Payout Overhang Extends into the Week.

Per data drop, Lockheed Martin closed ↓3.00% at \$571.48 Thursday extending Wednesday's ↓2.97% mark. Per Benzinga coverage cited in prior briefs, Senator Warren's public criticism of aggregate defense-sector shareholder payouts (characterized as approximately \$100B) has provided the overhang. Per Benzinga and CNBC coverage cited in the data drop, US Undersecretary of Defense Duffey publicly indicated a Pentagon push for multi-year missile procurement contracts — a supportive fundamentals data point against the political overhang. For FCI, the dividend sleeve LMT position sits at the intersection of the political overhang and the multi-year procurement fundamentals; two consecutive sessions of –3% marks warrant continued analytical attention rather than an incremental portfolio action given the pre-committed FCI deployment discipline.

6. Carson's SPY \$645.80 Support Remains Active; No

Levels Hit Thursday. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Thursday's \$762.04–\$768.15 SPY intraday range per data drop and now sits approximately 15.3% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With S&P Global flash PMI 9:45 AM ET today, the Section 338 Canada pause window closing after today's session, Jackson Hole running August 27–29 with Chair Warsh's keynote Friday morning August 28, and NVDA reporting Wednesday August 26, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 72 "Greed" reflects the CNN endpoint falling back to the crypto index; per web-search coverage, the CNN stock-market F&G reading held near 52 "Neutral" heading into Thursday's close and should be treated as approximate for this brief.

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